Calendar Line 24

Case Name: *Isabella LaTour*
Case No.: 25CV480101

This is a putative class and representative action arising from alleged wage and hour violations. Defendant SLT Lending SPV, Inc. d/b/a Sur La Table ("SLT") moves to compel plaintiff Isabella Celestine La Tour ("Plaintiff") to arbitrate her individual claims, to dismiss or strike the class claims, and to stay the non-individual claim under the Private Attorneys General Act ("PAGA") pending arbitration. (Notice of Motion and Motion, p. 2:3–9.) For the reasons discussed below, the Court GRANTS the motion.

I. Background

According to the operative First Amended Complaint ("FAC"), SLT employed Plaintiff as a non-exempt hourly employee in California. (FAC, ¶¶ 2, 4.) The FAC pleads nine causes of action: seven wage-and-hour claims under the Labor Code, a claim under the Unfair Competition Law, and a PAGA claim. Plaintiff also names "CSC Generation, an unknown business form," as a defendant. SLT represents that no such entity exists, and CSC Generation has not appeared. (Memorandum of Points and Authorities ("MPA"), p. 7, fn. 1.) SLT brings this motion alone.

SLT presents evidence that Plaintiff electronically signed a "Mutual Arbitration Agreement" (the "Agreement") during onboarding. (Declaration of Kim Tex ("Tex Decl."), ¶¶ 5–11, Ex. 1–2; MPA, pp. 7:20–9:9.) SLT onboards new hires through the Paylocity platform. Paylocity sends the new hire two emails, one with SLT's company code and the new hire's username and the other with a password, and SLT cannot see or access the password. (Tex Decl., ¶¶ 5–6.) The Agreement is a standalone document and a separate step in the onboarding sequence. To complete the Agreement the new hire must consent to the use of electronic records and signatures, type her name in the first paragraph, either draw or type a signature, click "Sign" beneath a statement that the electronic signature carries the same effect as a pen-and-paper signature, and then print her name. (*Id.* at ¶¶ 6–9.) A new hire who clicks "Cancel" may return to the task later. (*Id.* at ¶¶ 7, 9.)

The Paylocity audit trail reflects that Plaintiff gave signer consent and opened the Agreement on October 25, 2024 at 17:44:29 UTC, completed the form at 17:46:36 UTC from the same IP address, and viewed the document again on November 3, 2024. (Tex Decl., ¶ 11, Ex. 2.) Plaintiff began work as a Seasonal Kitchen Assistant at SLT's Palo Alto store on or about November 10, 2024, and her employment ended on January 13, 2025. (*Id.* at ¶ 4.)

The Agreement runs eight pages and is governed by the Federal Arbitration Act ("FAA"). (Agreement, ¶ 10.) It covers "all disputes, claims, and any other matters arising out of, or relating to," Plaintiff's employment or its termination, and it expressly lists "claims under the California Labor Code (including but not limited to claims for overtime, unpaid wages, and claims involving meal and rest breaks)." (*Id.* at ¶¶ 1, 3.) Arbitration is before JAMS under the JAMS Employment Arbitration Rules, within 50 miles of the employee's place of employment, before a single arbitrator chosen by a strike-and-rank process from a JAMS list of retired judges or experienced attorneys. (*Id.* at ¶¶ 2(a), 8.) The arbitrator must issue a written decision, and SLT pays the arbitrator's fees, the arbitration expenses, and all other costs unique to the arbitration hearing, except the initial JAMS filing fee. (*Id.* at ¶¶ 12, 15.) The Agreement contains a class and collective action waiver (¶ 5) and a severability clause (*Id.* at ¶ 18).

II. Legal Standard

On a motion to compel arbitration, the moving party bears the burden of proving the existence of a valid arbitration agreement by a preponderance of the evidence. (*Engalla v. Permanente Medical Group, Inc.* (1997) 15 Cal.4th 951, 972; *Pinnacle Museum Tower Assn. v. Pinnacle Market Development* (US), LLC (2012) 55 Cal.4th 223, 236 (*Pinnacle*).) The party opposing arbitration then bears the burden of proving any defense, including unconscionability. (*Pinnacle*, *supra*, 55 Cal.4th at p. 236.) The court treats an arbitration agreement as it would any other contract. (*Quach v. California Commerce Club, Inc.* (2024) 16 Cal.5th 562, 583 [courts "should apply the same procedural rules that they apply to any other contract"].)

The moving party may meet its initial burden by attaching a copy of the purported agreement; if the signature is challenged, the moving party must authenticate it. (*Espejo v. Southern California Permanente Medical Group* (2016) 246 Cal.App.4th 1047, 1059–1061;

Condee v. Longwood Management Corp. (2001) 88 Cal.App.4th 215, 218–219.) An electronic signature may not be denied legal effect solely because it is electronic, and it is attributable to a person if it was the act of that person, which may be shown by "the efficacy of any security procedure applied." (Civ. Code, §§ 1633.7, subd. (a), 1633.9, subd. (a).)

III. Discussion

A. The FAA Governs, and the Court Decides Enforceability

The Agreement provides that it "and any arbitration shall be governed by the Federal Arbitration Act ('FAA') to the exclusion of any state law inconsistent with the FAA." (Agreement, ¶ 10.) SLT also submits unrebutted evidence that it operates 58 retail stores in 24 states along with a nationwide e-commerce business, transports goods across state lines, and annually purchases millions of dollars of goods. (Declaration of Josh Bryant, ¶¶ 3–4; MPA, pp. 10:19–11:3.) The FAA applies, and Plaintiff does not argue otherwise. The FAA does not displace generally applicable contract defenses such as unconscionability. (9 U.S.C. § 2.)

One preliminary matter warrants mention because neither side raises it. Paragraph 2(b) provides that "the Arbitrator, and not any federal, state, or local court or agency, shall have exclusive authority to resolve any dispute relating to the interpretation, applicability, formation, or enforceability of this Agreement." SLT does not rely on that clause. It briefed unconscionability on the merits and asked this Court to resolve it. (MPA, pp. 16:23–18:24; Reply, pp. 2:16–7:13.) A party may elect not to invoke a delegation clause, and SLT has done so here. The Court therefore reaches the enforceability questions.

B. Existence of a Valid Agreement to Arbitrate

SLT has met its initial burden. It produced the signed Agreement together with a declaration describing the security procedures that control access to Paylocity and an audit trail recording the date, time, and IP address of Plaintiff's consent, opening, and completion of the document. (Tex Decl., ¶¶ 3–11, Ex. 1–2; MPA, pp. 12:6–13:16.) That showing satisfies Civil Code sections 1633.7 and 1633.9, and Espejo.

Plaintiff filed no declaration and nowhere does she deny that she signed the Agreement. Her opposition takes formation as given and disputes only enforceability. (Opposition, pp. 8:12–18:2.) The Court therefore finds that the parties formed a valid agreement to arbitrate.

C. Scope of the Agreement

The Agreement reaches "all disputes, claims, and any other matters arising out of, or relating to," Plaintiff's employment, and it names California Labor Code claims for overtime, unpaid wages, and meal and rest breaks. (Agreement, ¶¶ 1, 3.) Every cause of action in the FAC arises out of the employment relationship, including the derivative Unfair Competition Law claim. Plaintiff's individual PAGA claim, meaning her claim for civil penalties based on Labor Code violations she personally suffered, falls within that language and is arbitrable. (*Viking River Cruises, Inc. v. Moriana* (2022) 596 U.S. 639, 662; *Adolph v. Uber Technologies, Inc.* (2023) 14 Cal.5th 1104, 1123–1124 (*Adolph*); MPA, pp. 13:17–16:22.) Plaintiff does not contest scope.

D. Unconscionability

Plaintiff argues that the Agreement is unenforceable because it is unconscionable. (Opposition, pp. 8:12–18:2.) Unconscionability has a procedural element and a substantive element. Both must be present, but they are weighed on a sliding scale: "the more substantively oppressive the contract term, the less evidence of procedural unconscionability is required to come to the conclusion that the term is unenforceable, and vice versa." (*Armendariz v. Foundation Health Psychcare Services, Inc.* (2000) 24 Cal.4th 83, 114 (*Armendariz*); *OTO, L.L.C. v. Kho* (2019) 8 Cal.5th 111, 125–130.) Plaintiff bears the burden on both elements.

1. Procedural Unconscionability

Plaintiff's showing here is modest. The Agreement was a standardized form presented as a mandatory condition of employment, so it is adhesive and some procedural unconscionability is present. (Opposition, pp. 9:6–14.) But adhesion alone is not enough. (*Baltazar v. Forever 21, Inc.* (2016) 62 Cal.4th 1237, 1244 (Baltazar).) It becomes legally significant only where there is surprise, or evidence of oppression or sharp practices. (*Id*. at p. 1245.) *Serafin v. Balco Properties Ltd., LLC* (2015) 235 Cal.App.4th 165, on which Plaintiff relies (Opposition, pp. 8:28–9:5), confirms that "[c]ourts have consistently held that the requirement to enter into an arbitration agreement is not a bar to its enforcement." (*Id*. at p. 179; see Reply, pp. 2:26–3:11.) *Lona v. Citibank N.A.* (2011) 202 Cal.App.4th 89 is inapposite. It addressed triable issues on a consumer loan at summary judgment, not an arbitration agreement.

Apart from her adhesion argument, Plaintiff offers nothing to establish procedural unconscionability. She submitted no declaration, and the opposition does not address oppression or surprise at all. The record points the other way. The Agreement was a standalone, eight-page document in ordinary type and plain language, presented as its own onboarding step rather than buried in a prolix form. (*Pinnacle*, *supra*, 55 Cal.4th at p. 247; MPA, pp. 17:9–24.) The jury-trial and class-action waivers appear in bold capital letters in the first substantive paragraph and again in the last. (Agreement, ¶¶ 1, 19.) Plaintiff could review and print the document, could cancel and return to it later, and in fact revisited it on November 3, 2024. (Tex Decl., ¶¶ 7–9, 11, Ex. 2.) She signed on October 25, 2024, more than two weeks before her November 10 start date, so she was not handed the document amid any time pressure or other urgencies that could be attendant to a first day of work. The JAMS Rules were identified by name, with a web address and a telephone contact, and the discovery limitations she attacks appear in the text of the Agreement itself. (Agreement, ¶¶ 2(a), 9.)
The degree of procedural unconscionability is low.

2. Substantive Unconscionability

Substantive unconscionability concerns terms that are "unreasonably favorable to the more powerful party" or so one-sided as to shock the conscience. (*Baltazar*, *supra*, 62 Cal.4th at p. 1244.) Plaintiff challenges five provisions. (Opposition, pp. 9:20–16:20.) Three of them appear to be unconscionable, and the other two are not.

a. The Offer-of-Judgment Fee-Shifting Provision (Paragraph 15)

Plaintiff presents a strong argument here. Paragraph 15 provides that if "the Employer makes a settlement offer and/or an offer of judgment of any kind or amount whatsoever" and the employee rejects it and "subsequently recovers less than the amount of this Offer of Judgment," then the employee "shall be responsible for paying any and all of the Employer's fees and costs (specifically to include the Employer's attorneys' fees and costs)." (Opposition, pp. 9:20–11:16.)

Beginning with mutuality, the clause is triggered only by an offer the employer makes, and it imposes liability only on the employee. Nothing in the Agreement exposes SLT to a comparable risk. A fee provision that runs in one direction is substantively unconscionable on that ground alone. (*Armendariz*, *supra*, 24 Cal.4th at pp. 117–120; *Ajamian v. CantorCO2e, L.P.* (2012) 203 Cal.App.4th 771, 799–801.)

The clause also saddles Plaintiff with an expense she would not face in court. An employer that imposes mandatory arbitration "cannot generally require the employee to bear any type of expense that the employee would not be required to bear if he or she were free to bring the action in court." (*Armendariz*, *supra*, 24 Cal.4th at pp. 110–111.) A wage claimant who turns down a section 998 offer and recovers less does not thereby become liable for her employer's attorney fees, because the Labor Code's one-way fee provisions control over section 998. (*Chavez v. California Collision, LLC* (2024) 107 Cal.App.5th 298, 310.) The provision therefore creates a fee exposure that exists only in the arbitral forum, and it does so at the expense of fee rights Plaintiff holds by statute. (Lab. Code, §§ 226, subd. (e), 1194.)

If anything, the clause sweeps wider than section 998 itself. It attaches to an offer "of any kind or amount whatsoever," without the procedural safeguards section 998 supplies, and it reaches fees incurred "in an arbitration proceeding or in any other proceeding related to or concerning the Employee's Covered Claims." A wage claimant who declines an informal settlement offer of any size thus risks paying her employer's attorney fees. The deterrent effect on the vindication of non-waivable statutory rights is plain.

SLT does not defend the provision. Its reply reaches Paragraph 15 only in the severance discussion, and there it assumes unconscionability for the sake of argument. (Reply, pp. 7:15–19.)

b. The Discovery Limitations (Paragraph 9)

These limitations fail as well. Adequate discovery is among the minimum requirements for arbitrating non-waivable statutory claims, because "[t]he denial of adequate discovery in arbitration proceedings leads to the de facto frustration of the employee's statutory rights." (*Armendariz*, *supra*, 24 Cal.4th at p. 104.) Paragraph 9 permits each side "only one interrogatory limited to the identification of potential witnesses," "only fifteen (15) requests for production of documents," and "a maximum of two (2) eight (8)-hour long depositions." Those numbers are tighter than the ones condemned in *Kinney v. United HealthCare Services, Inc.* (1999) 70 Cal.App.4th 1322, 1326, 1332, which allowed 25 document requests alongside the same interrogatory restriction and the same two eight-hour depositions. (Opposition, pp. 14:9–15:2.)

Subdivision (d) compounds the problem by forbidding "broad or widespread collection, search, and production of documents, including electronically stored information," absent "a showing of compelling need," and it permits the arbitrator to condition production on the requesting party advancing the producing party's costs. This is a wage and hour case. The timekeeping, scheduling, and payroll records that may demonstrate liability sit with the employer. Limits that might otherwise read as even-handed do not operate that way in this context. (*Kinney*, *supra*, 70 Cal.App.4th at p. 1332; *Fitz v. NCR Corp.* (2004) 118 Cal.App.4th 702, 716–717.)

Nor does the "compelling need" escape hatch save the provision. That showing is difficult to make precisely because the discovery needed to make it is off limits; a single witness-identification interrogatory will not surface the documents or witnesses that would justify the request. (*Mills v. Facility Solutions Group, Inc.* (2022) 84 Cal.App.5th 1035, 1059–1060; Opposition, pp. 15:3–17.) *Ramirez v. Charter Communications, Inc.* (2024) 16 Cal.5th 478 (*Ramirez*) cuts the other way on its facts: the provision approved there let the arbitrator order additional discovery without any heightened showing. (*Id*. at pp. 505–507.) SLT's moving papers characterized ¶ 9 as providing "adequate discovery" (MPA, pp. 18:11–15), but the reply does not answer Plaintiff's showing and treats the provision as severable instead. (Reply, pp. 7:15–19.)

c. The ECIIAA Carve-Out (Paragraph 4(c))

The result is the same for this provision. The Agreement compels arbitration of essentially everything Plaintiff might bring, yet exempts "claims arising under the Employer's Employee Confidential Information and Inventions Assignment Agreement." (Agreement, ¶ 4(c).) The exemption is phrased neutrally, but claims of that kind run in one direction. Courts have repeatedly held that an employer's reservation of a judicial forum for its own confidentiality and trade secret claims destroys mutuality. (*Armendariz*, *supra*, 24 Cal.4th at pp. 115–120; *O'Hare v. Municipal Resource Consultants* (2003) 107 Cal.App.4th 267, 274; *Samaniego v. Empire Today, LLC* (2012) 205 Cal.App.4th 1138, 1147; Opposition, pp. 12:22–13:28.)

An employer may keep a judicial remedy where "business realities" create a special need, but the justification must appear in the contract or be established factually. (*Armendariz*, *supra*, 24 Cal.4th at p. 117.) SLT offers neither. It does not address the carve-out on the merits and submits no evidence of business necessity.

The Agreement's other exclusions are a different matter. Paragraph 4 also excludes workers' compensation and unemployment benefits, administrative charges before the National Labor Relations Board and the Equal Employment Opportunity or state equivalents, sexual harassment and abuse claims that cannot be compelled by law, and non-arbitrable Sarbanes-Oxley Act and Dodd-Frank Act claims. Those either track existing legal requirements or benefit the employee, and they are not evidence of one-sidedness. Paragraph 2(d), which preserves provisional remedies, applies to both parties.

d. The Sanctions Provision (Paragraph 14)

Plaintiff's reading of this provision is not persuasive. She treats Paragraph 14 as shifting fees to an employee who unsuccessfully challenges enforceability. (Opposition, pp. 11:17–12:21.) The text says something narrower. It permits "the arbitrator" to order sanctions for a party's "failure . . . to comply with its obligations under this Agreement, with an order of the arbitrator, and/or with the JAMS Rules." The provision operates inside the arbitration, it turns on conduct, it applies to both sides, and it says nothing about a motion to compel filed in this Court or about the party resisting arbitration. (Reply, pp. 6:5–14.)

Ramirez involved language of a different order. There, the provision stated that "the party that resisted arbitration will be required to pay to the other party all costs, fees and expenses that they incur in compelling arbitration." (*Ramirez*, *supra*, 16 Cal.5th at p. 507.) Nothing comparable appears here. A sanctions power is also not an expense unique to arbitration, since this Court possesses similar authority. (Code Civ. Proc., §§ 2023.010, 2023.030, 2031.310, subd. (h); Reply, pp. 6:20–7:13.)

e. The Confidentiality Provision (Paragraph 2(g))

This one is a closer question, but the Court concludes against Plaintiff's argument. Paragraph 2(g) requires that "the arbitration shall be conducted on a confidential basis and there shall be no disclosure of evidence or the award or Arbitrator's decision beyond the arbitration proceeding." Plaintiff's authorities involved broader clauses or materially different settings. (*Haydon v. Elegance at Dublin* (2023) 97 Cal.App.5th 1280, 1284, 1290 [Elder Abuse Act case; clause barred disclosure of "the existence, content, or results of the arbitration"]; *Ramos v. Superior Court* (2018) 28 Cal.App.5th 1042, 1066 ["all aspects" of the arbitration]; *Ting v. AT&T* (9th Cir. 2003) 319 F.3d 1126, 1151–1152 [consumer services agreement reaching more than seven million Californians]; *Murrey v. Superior Court* (2023) 87 Cal.App.5th 1223, 1254–1255 [workplace sexual harassment]; Opposition, pp. 15:25–16:20.) A requirement that the proceeding itself remain confidential has been upheld. (*Woodside Homes of Cal., Inc. v. Superior Court* (2003) 107 Cal.App.4th 723, 732; Reply, pp. 4:2–13.) The clause tracks JAMS Rule 26, and Paragraph 13 leaves each party free to go to court to confirm, vacate, or enforce an award, so the result is not shielded from judicial review. (Reply, pp. 5:25–6:3.)

The Court reads Paragraph 2(g) according to its terms. It governs disclosure of evidence and of the award outside the arbitration. It does not prevent Plaintiff or her counsel from investigating her claims informally, from interviewing percipient witnesses, or from taking discovery on the non-individual PAGA claim that remains in this Court. Read that way, the clause adds little to Plaintiff's showing.

3. Severance

A court may sever an unconscionable term if the unconscionability or illegality is collateral to the contract's main purpose, if severance can cure any defects, and if enforcing the arbitration agreement, on balance, serves the interests of justice. (Civ. Code, § 1670.5, subd. (a); *Armendariz*, *supra*, 24 Cal.4th at pp. 122–124; *Ramirez*, *supra*, 16 Cal.5th at pp. 514–518.) *Ramirez* rejected any mechanical rule tied to a count of defective terms: "[t]he court cannot refuse to enforce an agreement simply by finding that two or more collateral provisions are unconscionable as written and eschewing any further inquiry." (*Id*. at p. 518.) The Agreement also contains an express severability clause. (Agreement, ¶ 18; Reply, pp. 7:20–22.)

The three defective terms are collateral. The Agreement's central purpose is the parties' mutual obligation to take employment disputes to a JAMS neutral, and none of these three provisions eliminates that obligation. The *Armendariz* protections remain in place: a neutral arbitrator selected by strike-and-rank (¶ 8), a written decision (¶ 12), the full range of relief otherwise available, with the limit on punitive damages itself qualified "except where expressly permitted by statute" (¶¶ 2(e), 10), payment by SLT of the arbitrator's fees and every cost unique to arbitration apart from the initial filing fee (¶ 15, first sentence), judicial review and enforcement (¶¶ 6, 13), and mutual coverage of claims (¶ 3).

Each defect can be cured by deletion. Paragraph 4(c) comes out whole. Subdivisions (a) through (d) of Paragraph 9 come out, leaving the first sentence of Paragraph 9 in place so that the JAMS Rules govern discovery and the arbitrator retains authority to set deadlines and resolve disputes. The offending portion of Paragraph 15, beginning "Moreover, in addition to, and not in lieu of," comes out through the end of the paragraph, leaving the sentences that put the costs unique to arbitration on SLT and preserve statutory fee awards. Nothing must be added or rewritten. That distinguishes the cases in which unconscionability "cannot be cured by extirpating or limiting the offending provisions, but instead requires augmentation."

(*Ramirez*, *supra*, 16 Cal.5th at p. 516.) Plaintiff's contention that Paragraph 15 "would have to be entirely rewritten to apply it to both parties" (Opposition, p. 17:17–18) mistakes the remedy. The remedy is deletion, not reformation into a mutual clause.

That leaves the interests of justice, and Plaintiff's concern there is a serious one. Severance can reward a drafter who loads an agreement with overreaching terms and risks nothing by doing so. (Opposition, pp. 16:21–17:27.) Several considerations cut the other way on this record. Procedural unconscionability is low, and on the sliding scale that calls for a correspondingly strong substantive showing. There is no evidence that SLT ever invoked any of the three provisions against Plaintiff or threatened to do so. Two of the five challenged terms are not unconscionable at all, which is difficult to square with arguing that a document drafted throughout is an instrument of overreach. The offending terms can be stricken without re-writing the Agreement. The remedy adopted here strikes the offending terms outright rather than trimming them, so SLT retains no residual benefit from having included them.

The Agreement is not permeated by unconscionability. The Court severs Paragraph 4(c), Paragraph 9(a) through (d), and the offer-of-judgment portion of Paragraph 15, and enforces the remainder.

E. Class Claims

The class and collective action waiver is enforceable, and Plaintiff does not separately contest it. (Agreement, ¶¶ 1, 5, 19; *AT&T Mobility LLC v. Concepcion* (2011) 563 U.S. 333, 348–352; *Epic Systems Corp. v. Lewis* (2018) 584 U.S. 497, 502; MPA, pp. 18:25–19:17.) The class allegations of the FAC are stricken. (Code Civ. Proc., § 436.)

F. The PAGA Claim and the Stay

Plaintiff's PAGA cause of action divides. The individual component is arbitrable and is compelled. The non-individual, representative component is not compelled and remains before this Court. (*Viking River Cruises, Inc. v. Moriana*, *supra*, 596 U.S. at p. 662; *Adolph*, *supra*, 14 Cal.5th at pp. 1123–1124.) A wholesale pre-dispute waiver of representative PAGA claims would be unenforceable. (*Iskanian v. CLS Transportation Los Angeles, LLC* (2014) 59 Cal.4th

348, 384.) SLT does not ask the Court to enforce one, and the Court enforces none. If Paragraph 5(b) could be read to bar a representative PAGA action in court, it is unenforceable to that extent and severable under Paragraph 18.

The remaining question is a stay of proceedings in this Court, and whether it should issue. Code of Civil Procedure section 1281.4 provides that where the court has ordered arbitration of a controversy that is an issue involved in a pending action, the court "shall . . . stay the action or proceeding until an arbitration is had in accordance with the order to arbitrate." *Adolph* describes this as the appropriate course when a plaintiff's individual PAGA claim goes to arbitration. (*Adolph*, supra, 14 Cal.5th at pp. 1123–1125.) *Leenay v. Superior Court* (2022) 81 Cal.App.5th 553, which Plaintiff cites, says the same thing: the court "must stay the action" where it has ordered arbitration, the arbitrable issue arises in the pending action, and the parties to the arbitration are also the parties to the action. (*Id*. at p. 559; Reply, pp. 9:6–10.) Each condition is satisfied. Plaintiff principally relies *Jarboe v. Hanlees Auto Group* (2020) 53 Cal.App.5th 539 (*Jarboe*). (Opposition, pp. 19:13–25.) *Jarboe* predates *Adolph* and involved non-signatory defendants whose claims could not be sent to arbitration.

Plaintiff's preclusion argument rests on a misreading of the Agreement. (Opposition, pp. 20:11–19.) Paragraphs 2(c) and 5(e) withhold preclusive effect only from awards "deciding issues for similarly situated employees" or "determining an issue with a similarly situated employee." Plaintiff's own arbitration is a proceeding between the Parties. The arbitrator's determination whether she suffered a Labor Code violation, and so whether she is an "aggrieved employee" with standing to prosecute the representative claim, will bind her here. (*Adolph*, supra, 14 Cal.5th at pp. 1123–1124.) That is the sequence a stay is meant to permit.

The Court has considered Plaintiff's argument that the State's law enforcement interest should not yield to a forum the employer selected. (Opposition, pp. 18:13–19:12.) The interest is a real one, but section 1281.4 contains no public interest exception, and *Adolph* contemplated this order of proceeding without suggesting that it disserves PAGA's purposes. Plaintiff's concern that evidence will go stale during a stay (Opposition, pp. 20:3–8) is speculative on this record and can be raised by noticed motion if circumstances change.

IV. Conclusion

For the reasons stated, the Court GRANTS SLT's motion as follows. Paragraph 4(c), subdivisions (a) through (d) of Paragraph 9, and the portion of Paragraph 15 beginning "Moreover, in addition to, and not in lieu of" through the end of that paragraph are severed from the Agreement as unconscionable and are unenforceable. Plaintiff's individual claims, including the individual component of the PAGA claim, are compelled to arbitration in accordance with the Agreement as so modified. The class allegations of the First Amended Complaint are stricken. The non-individual, representative PAGA claim is stayed, and the action is stayed, pending completion of the arbitration.

The case management conference scheduled for August 19, 2026 at 2:30 p.m. in Department 19 is VACATED. The Court sets a further case management conference for February 17, 2027 at 2:30 p.m. in Department 19.

Defendant shall prepare the order in accordance with California Rules of Court, rule 3.1312.

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